EG United Kingdom: Burnham may tweak investment rule to enable more borrowing

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【要点】

・マンチェスターに設置される「Number 10 North」が権限の地方分権化と財務省の権限削減を推進し、Burnhamの経済政策の中心となる。

・Burnhamはコスト・オブ・リビング危機に対処するため税制改革による増税を優先し、キャピタルゲイン税の引き上げや緑色税制の一般課税への転換などを検討している。

・Rachel Reeves の財政ルールを遵守する方針だが、投資ルールの定義拡大を検討しており、23.6億ポンドの財政余裕の一部を防衛費増加などの初期優先事項に充てる可能性がある。

・エネルギー業、水道、交通などの産業を規制を通じて公的管理下に置き、国の産業基盤の再建を目指している。

【メール原文】

United Kingdom

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Burnham may tweak investment rule to enable more borrowing

Short-term trajectory:

Long-term trajectory:

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* Although large parts of Andy Burnham’s economic agenda remain unclear, a “Number 10 North” based in Manchester will drive plans to devolve powers from Whitehall to mayors and local authorities and weaken the chancellor, still undecided, and the Treasury.
* Burnham will prioritize measures to tackle the cost-of-living crisis through tax increases, such as raising the capital gains tax on asset sales to align with income tax.
* Though Burnham has vowed to stick to Rachel Reeves’s fiscal rules, he is considering widening the definition of the rule on investment and is likely to use some of the £23.6 billion fiscal buffer to fund some early priorities, such as a defense spending increase.

Two weeks before Burnham takes office on 20 July, his economic agenda remains fuzzy. However, the former Greater Manchester Mayor has given some clues about his direction of travel. A Number 10 North, based in Manchester, will drive plans to devolve powers from Whitehall to mayors and local authorities; spearhead his campaign to bring water, energy, housing, and transport under public control through regulation rather than renationalization; and rebuild the country's industrial base. His allies say Number 10 North will bolster the prime minister's operation while diluting the Treasury's power. Burnham is determined his chancellor will be less powerful than Rachel Reeves, to whom Keir Starmer ceded economic policy.

Burnham will prioritize tackling the cost-of-living crisis through tax hikes, not new borrowing. He needs to grab voters' attention quickly and knows their first impressions will be lasting. One leading proposal is to bring down electricity bills by switching the remaining green levies to general taxation at a cost to the Treasury of £2.6 billion. Burnham also wants to cut energy costs for business to signal he is not hostile to the private sector. It is an open question whether this package will come before or alongside the budget in October or November. His advisers also admit his so-called devolution revolution could take ten years to work.

A couple of possibilities to finance the measures are to bring the capital gains tax on asset sales into line with income tax or to close capital gains tax loopholes. However, the Treasury will warn ministers that these steps would raise less than expected, as people would hold on to assets to avoid higher rates. Meanwhile, pressure from Labour members of parliament and trade unions is growing to increase the surcharge on bank profits to raise £9 billion over four years.

Such moves would mean Labour's third tax-raising budget in a row after Reeves's £66 billion hike. But a Burnham ally emphasized the importance of making an early move to improve living standards without more borrowing.

Burnham has vowed to stick to Reeves's fiscal rules, however, he is considering widening the definition of the rule on investment. The rule requires a decline in public sector net financial liabilities as a share of GDP by the end of the forecast period. Burnham's advisers believe there is scope to borrow more for infrastructure projects without spooking the markets. They would label this action "borrowing for growth," arguing that the assets built will raise the long-term growth rate. "Borrowing to invest works differently to current spending," said one senior Labour figure. Burnham may set up an independent infrastructure body modeled on the Office for Budget Responsibility.

Burnham will also use headroom against the fiscal rules to fund some early priorities. Although the Iran war's impact will likely be less severe than earlier estimates, it will still consume a chunk of the £23.6 billion of headroom against the fiscal rule to balance income and spending by 2029-2030. New defense investment plans presented last week will absorb another £4.7 billion. Burnham's ministers will also need to identify £6.8 billion of cuts to capital spending over four years. Raising defense spending from 2.7% of GDP in 2029 to 3.5% by 2035 to meet NATO commitments will cost an estimated £25 billion a year. Defense will be a key issue in a government-wide spending review next spring, which will set Burnham's medium-term priorities. Some ministers will likely urge him to use the inevitable defense budget boost as cover for an income tax increase. But Burnham has pledged to stick to Labour's 2024 manifesto pledge to not increase national insurance, VAT or income tax rates—though that might not be repeated in the party's next manifesto.

Burnham will signal his desire to bring down the spiraling welfare bill. He will seek to do this by increasing employment rates rather than cutting benefits. Burnham is taking a close interest in the inquiry into the one million 16–24-year-olds not in education, training, or work by Alan Milburn, the former health secretary. In September, Milburn will propose a new settlement between the generations—with money switched from the so-called triple lock state pension guarantee to giving young people greater opportunities. Burnham has promised to retain the triple lock for the current five-year parliament but may be open to reform after that.

Burnham has not yet decided who to appoint as chancellor. Front-runners include Ed Miliband; Shabana Mahmood; Yvette Cooper and Pat McFadden. His decision has been complicated by a plan to appoint Miliband's brother, David, to his old job as foreign secretary with a seat in the House of Lords. Some senior Labour women oppose Reeves's and Cooper's posts being handed to the Miliband brothers and are lobbying for women to secure a fair share of the top jobs.

Happy to discuss,

EG Europe

europe@eurasiagroup.net

Mujtaba Rahman

Managing Director, Europe

+44 (0) 207.553.9823

rahman@eurasiagroup.net

Neil Weller

Director, Fixed Income Strategist

+44 20 7375 6939

weller@eurasiagroup.net

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